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الجامعة العربية المفتوحة
Arab Open University

Name: .....

ID .....

Faculty of Business Studies
Principles of Microeconomics ECO101
Mid-Term Assessment (MTA) – Form B

Fall 2025-2026 17-November-2025

Number of Exam Pages: 3 (including this cover sheet)	**Time Allowed: 1.5 hours**

PLEASE READ THE FOLLOWING INSTRUCTIONS

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- **YOU HAVE TO ANSWER ALL THE QUESTIONS.**
5- Do **NOT** write your answers in pencil except graphs/sketches.
6- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination
7- Simple calculators are allowed (if needed).
8- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

Academic year	2025-2026
Semester	Fall
Exam type	Mid Term
Exam date	
Section No.	

Question	Mark	Signature
Q1		
Q2		
Q3		
Total		
In words:		

COMMENTS:

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Question One (6 marks)
Select the correct answer and **write it** in the space provided. (1 mark for each question).

Q1:
1. Answer:
2. Answer:
3. Answer:
4. Answer:
5. Answer:
6. Answer:

1. The inability to satisfy all our wants due to limited resources is called:
   A) Trade-off
   B) Scarcity
   C) Opportunity cost
   D) Marginal cost

2. A rational choice is one that:
   A) Minimizes both cost and benefit
   B) Maximizes benefit over cost
   C) Ignores opportunity costs
   D) Eliminates all tradeoffs

3. The opportunity cost of going to a concert includes:
   A) Only the price of the ticket
   B) Only the time spent attending
   C) Both the money spent and the activities forgone
   D) None, if you enjoy the concert

4. A movement along the demand curve occurs when:
   A) Price changes while other factors remain constant
   B) Population size changes
   C) Preferences shift
   D) Technology improves

5. Over the past decade technological improvements that have lowered the cost of producing an automobile have increased
   A) both the supply and the demand for automobiles.
   B) the supply but not the demand for automobiles.
   C) the demand but not the supply of automobiles.
   D) neither the supply nor the demand for automobiles.

6. When the price of a good is
   A) below the equilibrium price, quantity supplied exceeds quantity demanded and price rises.
   B) below the equilibrium price, quantity demanded exceeds quantity supplied and price falls.
   C) above the equilibrium price, quantity supplied exceeds quantity demanded and price falls.
   D) above the equilibrium price, quantity demanded exceeds quantity supplied and price rises.

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QUESTION TWO: (12 MARKS)

2A. Briefly discuss two factors that can cause a change in supply. (6 marks)

2B. Briefly explain the difference between a change in supply and a change in the quantity supplied. (6 marks)

QUESTION THREE: (12 MARKS)

3A. Explain what is meant by market equilibrium. In your answer, define equilibrium price and equilibrium quantity. (6 marks)

3B. Using the supply and demand model, draw and explain what would happen to the equilibrium price and the equilibrium quantities of Fish under the following circumstances:

1) The price of meat increases. (3 marks)
2) The wage of fishermen is expected to increase (3 marks)

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END OF THE QUESTIONS

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